IN THE NATIONAL COMPANY LAW TRIBUNAL, NEW DELHI
COURT-V
(Division Bench)

Item No.-06
CP(CAA) No.-114/230/232/ND/2022 (2nd Motion)

IN THE MATTER OF:
Adgyde Solution Pvt. Ltd And Momagic Incubation Pvt. Ltd. With Momagic Technologies Pvt. Ltd. **....Applicants**

SECTION
U/s 230-232 **Order delivered on 01.08.2023**

CORAM:
SHRI MAHENDRA KHANDELWAL,
HON'BLE MEMBER (JUDICIAL)

DR. BINOD KUMAR SINHA,
HON'BLE MEMBER (TECHNICAL)

PRESENT:
For the Applicant :
For the Respondent :

ORDER

Order pronounced in open court vide separate sheets. CP(CAA) No.-114/230/232/ND/2022 (2nd Motion) is **allowed.**

Sd/-
(DR. BINOD KUMAR SINHA)
MEMBER (T)

Sd/-
(MAHENDRA KHANDELWAL)
MEMBER (J)

IN THE NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI
BENCH – V

COMPANY PETITION (CAA) NO. – 114/(ND)/2022
WITH
COMPANY APPLICATION NO. CA(CAA) 44/(ND)/2022

Under Section 230-232 and other applicable provisions of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016)

IN THE MATTER OF SCHEME OF AMALGAMATION OF:

ADGYDE SOLUTIONS PRIVATE LIMITED

...PETITIONER NO.1/TRANSFEROR COMPANY NO. 1

AND

MOMAGIC INCUBATION PRIVATE LIMITED

...PETITIONER NO.2/ TRANSFEROR COMPANY NO. 2

WITH

MOMAGIC TECHNOLOGIES PRIVATE LIMITED

...PETITIONER NO.3/ TRANSFEREE COMPANY

Order Delivered On: 01.08.2023

CORAM:

SHRI MAHENDRA KHANDELWAL, HON'BLE MEMBER (JUDICIAL)
DR. BINOD KUMAR SINHA, HON'BLE MEMBER (TECHNICAL)

PRESENT:

For the Applicant : Mr. GP Madaan, Mr. Aishwarya Adlakha, Advs.

For the Respondent :
For the OL : Ms. Hemlata Rawat. Adv.
For the RD : Ms. Niharika Tanwar, Adv.
For the IT Department : Mr. Abhishek Maratha, Sr. St. Counsel, Mr. Akshat Singh, Jr. St. Counsel, Mr. Bhanu Gupta, Adv.

ORDER

PER: DR. BINOD KUMAR SINHA, HON'BLE MEMBER (TECHNICAL)

1. The present Joint Petition is filed by the Petitioner Companies herein **Adgyde Solutions Private Limited** (Transferor Company No. 1/Petitioner No.1), **Momagic Incubation Private Limited** (Transferor Company No. 2/Petitioner No.2), and **Momagic Technologies Private Limited** (Transferee Company/Petitioner No.3) under Section 230-232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, and the National Company Law Tribunal Rules, 2016, for the purpose of the Sanction of the proposed Scheme of Amalgamation of the Transferor Companies with **Momagic Technologies Private Limited** (Transferee Company/Petitioner No. 3). The copy of the Scheme of Amalgamation (hereinafter referred as the "Scheme"), has been placed on record.

2. The Transferor Company No. 1/Petitioner No. 1 i.e., M/s Adgyde Solutions Private Limited is a private limited company incorporated on 28.04.2016 under the provisions of the Companies Act, 2013 vide CIN: U74999DL2016PTC299272, having its registered office situated at 206, First Floor, Plot No. 190-191, Neelkanth Palace, 252-A, Sant Nagar, New Delhi-110065. Thus, the registered office of the Transferor Company No.1 is under the jurisdiction of this Tribunal. The authorized share capital of the Transferor Company No. 1 is Rs. 3,24,00,000/- divided into 32,40,000 equity shares of Rs. 10/- each. The issued,

subscribed and paid-up share capital of the Transferor Company No. 1 is Rs. 3,23,10,000/- divided into 32,31,000 equity shares of Rs. 10/- each.

3. The Transferor Company No. 2/Petitioner No. 2 i.e., M/s Momagic Incubation Private Limited is a private limited company incorporated on 11.05.2016 under the provisions of the Companies Act, 2013 vide CIN: U74999DL2016PTC299494, having its registered office situated at 206, First Floor, Plot No. 190-191, Neelkanth Palace, 252-A, Sant Nagar, New Delhi-110065. Thus, the registered office of the Transferor Company is under the jurisdiction of this Tribunal. The authorized share capital of the Transferor Company No. 2 is Rs. 2,95,30,000/- divided into 29,53,000 equity shares of Rs. 10/- each. The issued, subscribed and paid-up share capital of the Transferor Company No. 2 is Rs. 2,95,24,440/- divided into 29,52,444 equity shares of Rs. 10/- each.

4. The Transferee Company/ Petitioner Company No. 3 i.e., M/s Momagic Technologies Private Limited is a private limited company incorporated on 04.03.2011 under the provisions of the Companies Act, 1956 vide CIN: U72200DL2011PTC215210, having its registered office at I-9 LGF, Lajpat Nagar, part-III, New Delhi-110024. Thus, the registered office of the Transferee Company is under the jurisdiction of this Tribunal. The authorised share capital of the Transferee Company/ Petitioner Company No. 3 is Rs. 6,60,00,000/- divided into 1,10,00,000/- equity shares of Rs. 6/- each. The present paid-up capital of the Transferee Company is Rs. 6,36,25,854 divided into 1,06,04,309 equity shares of Rs. 6/- each.

5. The Petitioner Companies have submitted that the proposed scheme of amalgamation of the Transferor Companies and Transferee Company would have the following benefits: -

i) The Transferor Companies are wholly owned subsidiaries of Transferee Company and managed by same set of management. Also, all the Companies are engaged in the similar nature of business, hence, after consolidation of all the companies in a single entity, management would be able to effectively manage the Transferor Companies and Transferee Company as a single entity, which will provide several benefits including streamlined group structure by reducing the number of legal entities engaged in similar nature of business, reducing the multiplicity of legal and regulatory compliances, rationalizing costs.

ii) The amalgamation will contribute in furthering and fulfilling the objectives and business strategies of all the companies thereby accelerating growth, expansion and development of the respective businesses through the Transferee Company. The amalgamation will thus enable further expansion of the Transferee Company and provide a strong and focused base to undertake the business more advantageously. Further, this arrangement would bring concentrated management focus, integration, streamlining of the management structure, seamless implementation of policy changes and shall also help enhance the efficiency and control of the Transferor Companies and Transferee Company.

iii) Further, the independent operations of the Transferor Companies and Transferee Company leads to incurrence of significant costs, duplication of administrative & establishment costs and the amalgamation would enable economies of scale by attaining critical mass and achieving cost saving and better financial management of resources.

The amalgamation will thus eliminate a multi-layered structure and reduce managerial overlaps, which are necessarily involved in running multiple entities and also prevent cost duplication that can erode financial efficiencies of a holding structure and the resultant operations would be substantially cost-efficient. This Scheme would result in simplified corporate structure of the Transferee Company and its businesses, thereby leading to more efficient utilization of capital and creation of a consolidated base for future growth of the Transferee Company.

iv) The Amalgamation of Transferor Companies and Transferee Company will create synergy benefits for the stakeholders of all the companies and it shall optimize the valuation of the consolidated Transferee Company. The amalgamation would also increase operational efficiency and integrate business functions.

v) The proposed arrangement will provide greater integration and flexibility to the Transferee Company and strengthen its position in the industry, in terms of the asset base, revenues and service range.

vi) The other benefits the proposed amalgamation include:

a) Optimum and efficient utilization of financial resources and rationalization of capital, resources, assets and liabilities.
b) Enhancement of competitive strengths including financial resources.
c) Obtaining synergy benefits;
d) Better management and focus on growing the businesses;

e) Reduction of overheads, administrative, managerial and other expenditure;

f) Simplify shareholding structure and reduce shareholding tiers.

6. The appointed date as fixed for the proposed scheme of Amalgamation is 01.04.2021 or such other date as may be directed by this Tribunal. This Tribunal prescribes 01.04.2022 as the Appointed Date for the proposed scheme of amalgamation.

7. From the records, it is seen that the First Motion joint application was filed before this Tribunal vide CA(CAA)44/ND/2022 and Vide order dated 08.06.2022 of this Tribunal, the meetings of the Equity Shareholders, Secured Creditors and Unsecured Creditors of all the Transferor Companies No. 1 to 2 were dispensed with. The meetings of Secured Creditors and Unsecured Creditors of the Transferee Company were also dispensed with. With respect to the Shareholders of the transferee Company, this Tribunal vide order dated 08.06.2022, directed to convene the meeting of the shareholders of the Transferee Company, however, vide order dated 18.10.2022, the Hon'ble NCLAT in Company Appeal (AT) No. 147/2022 had set aside the order dated 08.06.2022 in CA (CAA) 44/ND/2022 with respect to convening the meeting of the shareholders of the Transferee Company. Therefore, no chairperson was appointed.

8. The Tribunal vide order dated 08.06.2022, had directed the petitioner companies to issue individual notices to the (i) Regional Director, Northern Region of Ministry of Corporate Affairs, (ii) Income Tax Department, (iii) Registrar of Companies NCT of Delhi and Haryana, and (iv) Official Liquidator.

9. The Petitioner Companies were also directed by the Tribunal to carry out publication in the newspapers. It is seen from the records that the Petitioners have filed an Affidavit affirming compliance of the same and

disclosing that the applicants have effected publication in "Financial Express" (English, Delhi edition) as well as "Jansatta" (Hindi, Delhi edition), both dated on 13.02.2023. In addition to the public notice, notices were served on the Regional Director (Northern Region), Official Liquidator, the Income Tax Department, Registrar of Companies, NCT of Delhi and Haryana, the Reserve Bank of India and to the other relevant sectoral regulators.

10. Pursuant to the notice issued to the Regional Director and Official Liquidator, they have filed their response/reply in the matter.

11. The Regional Director (RD) in its report dated 21.03.2023 has made certain observations with regard to the proposed scheme of Amalgamation among the Petitioner Companies. In response to the same, the Petitioner Companies had filed reply dated 22.03.2023 wherein the Petitioner Companies gave clarification and undertaking to address the observations made by the Regional Director. The details of the same are summarised below:

Observation of the Regional Director vide report dated 21.03.2023	Reply of the Petitioner Companies vide Affidavit dated 22.03.2023
i. As per MCA General Circular No. 9/2019 dated 21.08.2019, if the appointed date is significantly ante-dated beyond a Year from the date of filling, the justification for the same would have to be specifically brought out in the scheme and it should not be against public interest. In this case, the appointed date is 01.04.2021. However, the justification of the same being significantly ante-dated in terms of the above circular is not clearly brought out. ii. Transferor Company no. 2 is not doing any significant business activity since past two years and appears 'Dormant'. iii. Refer to Clause 2.2 of Part III of the scheme, the Transferee Company may kindly be directed to comply with the provision of section 232(3)(i) of the Companies Act, 2013 in regard to fee	**i. Response to observation (I)** a) That the Board of Directors of the respective Petitioner Companies had approved the Scheme of Arrangement for Amalgamation each held on 10th November, 2021, and during that time, the nearest Appointed Date was 01 April, 2021 which was taken into consideration in the said Scheme. b) That the first motion application bearing Company Application (CAA) No. 44/ND/2022 was filed before this Hon'ble Tribunal on 31.03.2022 seeking directions for dispensation of all the meetings in respect of all the Petitioner Companies. c) That the Hon'ble Tribunal vide its order dated 08.06.2022 dispensed with all the meetings of the Petitioner Companies except the meeting of the Equity Shareholders of the Transferee Company / Petitioner Company 3 which was directed to be convened. Accordingly, the Transferee Company / Petitioner Company 3 had preferred an appeal before the Hon'ble National Company Law Appellate

payable on its revised authorised share capital, if applicable."	Tribunal ("NCLAT") vide Company Appeal (AT) No. 147 of 2022 and the Hon'ble NCLAT vide its judgment dated 18.10.2022 set aside the aforesaid directions in respect of convening the meeting of the Equity Shareholders of the Transferee Company / Petitioner Company 3 and was accordingly dispensed with. d) That thereafter the Petitioner Companies had filed the second motion petition on 17.11.2022 vide Company Petition (CAA) No. 114/ND/2022 for seeking sanction to the proposed Scheme of Arrangement for Amalgamation. e) That in view of the observation contained in Para 10 (I) of the report of the Regional Director it is submitted that there is no ante-dating of the appointed date. The reference to MCA General Circular No. 9/2019 dated 21.08.2019 is not applicable to the Petitioner Companies in the instant case, the reasons of which are provided hereinafter. The copy of the MCA's General Circular No. 9/2019 dated 21.08.2019 is annexed. f) That a perusal of the above circular would indicate that the proposed Scheme would have only required to provide a justification for the 'Appointed Date' being significantly ante-dated beyond a year and it should not be against the public interest. In view of the same, it is submitted that insofar as the Appointed Date of the said Scheme is concerned, it is submitted that the Scheme of Arrangement was filed before this Hon'ble Tribunal on 31.03.2022 and the Appointed Date being 01.04.2021, is within the time period of one year, and, accordingly no justification was required to be provided by the Petitioner Companies in view of the aforesaid Circular. g) It is further submitted that the acceptance of the Appointed Date as 01.04.2021 will not be against public interest and/or policy and in fact would only be favourable to all the stakeholders. h) Hence, in view of the above submissions, there seems to be only an interpretational issue insofar as the period of Appointed Date is concerned and there is no material breach/non-compliance of the conditions prescribed in the said Circular and the time gap are purely due to procedural reasons especially on account of filing of appeal etc. i) Hence, it is requested that this issue pertaining to the `Appointed Date' be settled in favour of the Petitioner Companies. **ii. Response to observation (II)** a) That there is no mandatory requirement on the part of the Transferor Company 2 / Petitioner Company 2 to obtain any dormant status in view of the provisions of Section 455 of the Companies Act, 2013.

b) That the Transferor Company 2 / Petitioner Company 2 during the years 2020 and 2021 got impacted by the then prevailing COVID-19 pandemic outbreak, and due to the unprecedented situations from the COVID-19 pandemic, the Transferor Company 2 / Petitioner Company 2 was unable to generate income from its business operations. However, it is a matter on record that the Scheme of Arrangement for Amalgamation between the Petitioner Companies had been approved by the shareholders and creditors of the Transferor Company 2 / Petitioner Company 2 by way of their No Objection Certificates to the Scheme of Arrangement for Amalgamation.

c) That in a recent ruling in the matter of ***Mochiko Footwear Private Limited*** [CA(CAA) No. 22/ND/2022 in CA(CAA) No. 06/ND/2022], a Scheme for Amalgamation was sanctioned by the Hon'ble National Company Law Tribunal, Delhi wherein similar observations regarding the dormant status of the petitioner therein were raised by the Regional Director (Northern Region). The Hon'ble NCLT had held such observations as not sustainable and that there was no impediment in granting sanction to the Scheme of Amalgamation. The relevant portion of the said Order is reproduced below for ease of reference:

"11. The Regional Director vide his report dated 28.06.2022 has not objected to the proposed scheme but has made certain observations. The petitioner companies had filed reply dated 07.07.2022 in response to the observations made by the Regional Director, under wherein the petitioner companies gave undertaking to appropriately comply with the observations made by the Regional Director. The details are given below:

Observations of the Regional Director	*Reply of the Petitioner Companies*
Transferor Company's financial statements shows that it has 'NIL' revenue from operations for the past two financial years, so its is a dormant Company u/s 455 of the Companies Act, 2013 but no application has been received in this regards.	*The management of the transferor company was in a view to start its business before the COVID-19 outbreak. However, due to unprecedented situations arises from COVID-19 outbreak and due to lack of market opportunities the company was not able to do so and also does not intend to start*

	business in the future. As both the companies are closely held group companies and the transferor and transferee company and not to opt the "Dormant status" for transferor company into transferee company will lead to simplification and rationalization of the holding structure and reduction in corporate legal entities.

12. In view of the foregoing facts and discussion and upon considering the approval accorded by the Members and Creditors of both the Companies to the proposed Scheme and also in the view of the fact that no sustainable objections have been raised by the Office of the Regional Director, Income Tax Department or any other interested party, there does not appear to be any impediment in granting sanction to the Scheme proposed of amalgamation.
13. Accordingly, in sequel to the above facts and circumstances, sanction is hereby granted to the Scheme of Amalgamation proposed by the Petitioner Companies under Section 230 to 232 of the Companies Act, 2013."

d) That the facts in the abovementioned Order of the Hon'ble NCLT are similar to the facts under consideration in respect of the Transferor Company 2 / Petitioner Company 2 herein. The Regional Director ought not interfere with the implementation of the Scheme as there are no sustainable objections from the Regional Director, Registrar of Companies (NCT of Delhi and Haryana) or any other interested party.

e) That opting for "Dormant status" is not a mandatory requirement under the Companies Act, 2013 and not opting for a dormant status by the Transferor Company 2 / Petitioner Company 2 would only lead to simplification and rationalization of the holding structure, reduction in corporate legal entities and effective implementation of the Scheme of Arrangement for Amalgamation.

iii.Response to observation (III)

a) That in respect of observation (III) of ROC above, it is submitted that the in view of the provisions of the Para 2.2 of Part II of the Scheme, the Transferee Company / Petitioner Company 3 shall comply with

	the provisions of Section 232(3)(i) of the Companies Act, 2013 in regard to the fee payable on its revised authorized share capital, if applicable. b) That the compliance of the aforesaid provision of Section 232(3)(i) by the Transferee Company / Petitioner Company 3 is only required to be made subsequent to the sanction of the Scheme of Arrangement by the Hon'ble Tribunal and not prior to such sanction, which is per se evident from the provisions of Section 232 itself. The said provision is reproduced below for ready reference: ***"Section 232. Merger and amalgamation of companies*** *([1])* (3) *The Tribunal, after satisfying itself that the procedure specified in sub-sections (1) and (2) has been complied with,* ***may, by order, sanction the compromise or arrangement or by a subsequent order, make provision for the following matters, namely;-*** *(a)…* *……* *(i) where the transferor company is dissolved, the fee, if any, paid by the transferor company on its authorised capital shall be set-off against any fees payable by the transferee company on its authorised capital* ***subsequent to the amalgamation;*** *and …"* c) Thus, the Transferee Company / Petitioner Company 3 shall be required to comply with the provisions of Section 232(3)(i) of the Companies Act, 2013 only subsequent to the sanction of Scheme of Arrangement for Amalgamation by this Hon'ble Tribunal; and; the fee and duty paid on the Authorized Share Capital of the Transferor Companies shall be set off against the fee payable on the Authorized Share Capital of the Transferee Company, if any.

14. The Official Liquidator has filed its report dated 20.03.2023, wherein no specific objection has been raised against the approval of the Scheme. It has been submitted by the Official Liquidator in the report that the affairs of the transferor companies do not appear to have been conducted in a manner prejudicial to the interest of its members or to public interest.
15. The Income Tax Department has not filed its report. Hence, as per the provisions of Section 230(5) of the Companies Act, 2013, on the expiry of

30 days from the date of notice, it may be presumed that the Income Tax Department does not have any comments on the proposed Scheme of Amalgamation with respect to Transferor Companies No. 1 & 2. However, the petitioner companies had filed the affidavit-cum-undertaking dated 21.03.2023, stating that in case, any claim of tax dues by the Income Tax Department in respect to the Transferor Company No. 1 & 2 is raised, after the approval of the Scheme of Amalgamation of transferor Companies into the Transferee Company, the Transferee company will be responsible to pay the income tax dues, if any, of the Transferor Companies No. 1 & 2.

16. In this petition it has also been affirmed that no proceeding for inspection, inquiry or investigation under the provisions of the Companies Act, 2013 or under provisions of Companies Act, 1956 is pending against the Petitioner Companies.

17. Certificates of Statutory auditor of the petitioner companies, has been placed on record to the effect that Accounting Treatment proposed in the Scheme of Amalgamation is in conformity with the Accounting Standard notified by the Central Government as specified under the provisions of Section 133 of the Companies Act, 2013 read with Rule 7 of the Companies Accounts Rules, 2014 and Companies (Accounting Standards) Amendment Rules, 2016, and other generally accepted accounting principles in accordance with the Companies Act, 2013, as applicable.

18. The shareholders of the petitioner companies are the best judges of their interest, being fully conversant with the market trends. Therefore, this Tribunal is not supposed to go into the commercial decisions taken by the companies. It has also been affirmed in the petition that the Scheme is in the interest of all the Petitioner Companies including their shareholders, creditors, employees and all concerned.

19. In view of the foregoing, upon considering the reply of the Petitioner Companies, the undertaking of the Petitioner Companies with respect to the observations and clarifications and upon considering the approval accorded by the members and creditors of the Petitioner companies to the proposed Scheme, there appears to be no impediment in sanctioning the present Scheme.

20. Consequently, sanction is hereby granted to the Scheme under Section 230 to 232 of the Companies Act, 2013 with the following directions: -

(i) The Petitioners shall however remain bound to comply with the statutory requirements in accordance with the law.

(ii) Notwithstanding the above, if there is any deficiency found or, violation committed, qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken in accordance with the law, against the concerned persons, directors and officials of the petitioners.

(iii) While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

21. This Tribunal further directs with respect to all the Transferor companies and the Transferee company, that:

(i) The Petitioner Companies had fixed 01.04.2021 as the Appointed Date in respect of the proposed scheme of Amalgamation between Transferor Companies and Transferee Company. However, this

Tribunal prescribes 01.04.2022 as the Appointed date for the said scheme of Amalgamation.

(ii) Upon the sanction becoming effective from the appointed date i.e., 01.04.2022 as prescribed by this Tribunal, the Transferor Companies shall stand dissolved without undergoing the process of winding up.

(iii) All contracts of the Transferor Companies, which are subsisting or having effect immediately before the Effective Date, shall stand transferred to and vested in the Transferee Company and be in full force and effect in favor of the Transferee Company and may be enforced by or against it as fully and effectually as if, instead of the Transferor Company, the Transferee Company had been a party or beneficiary or obliged thereto;

(iv) All the employees of the Transferor Companies shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand transferred to the Transferee Company without any interruption of service and on the terms and conditions no less favorable than those on which they are engaged by the Transferor Companies, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

(v) All liabilities of the Transferor Companies, shall, pursuant to the provisions of section 232(4) and other applicable provisions of the Companies Act, 2013, to the extent they are outstanding as on the Effective Date, without any further act, instrument or deed stand transferred to and be deemed to be the debts, liabilities, contingent liabilities, duties and obligations etc. as the case may

be, of the Transferee Company and shall be exercised by or against the Transferee Company, as if it had incurred such liabilities.

(vi) All proceedings now pending by or against the Transferor Companies be continued by or against the Transferee Company.

(vii) Any person interested or effected shall be at liberty to apply to this Tribunal in the above matter for any directions that may be necessary.

22. Further, the Petitioner Companies shall within thirty days of the date of the receipt of this order, cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Transferor companies shall be dissolved and the Registrar of Companies shall place all documents relating to the Transferor Companies on the file kept by him in relation to the Transferee Company and the files relating to all the Petitioner Companies shall be consolidated accordingly.

23. In compliance with the requirement of Section 232 (7) of the Act, the transferee company shall until the full implementation of the Scheme of Amalgamation shall file a statement every year in the Form CAA 8 along with the required fees with the Registrar of Companies as prescribed in the Companies (Registration offices and fees) Rules 2014 within 210 days from the end of each financial year.

24. The petition stands disposed of in the above terms.

Sd/-
(DR. BINOD KUMAR SINHA)
MEMBER (TECHNICAL)

Sd/-
(MAHENDRA KHANDELWAL)
MEMBER (JUDICIAL)